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1. What Price Hormuz?

Author: Simon Johnson | **Date:** May 29, 2026 | **Original:** https://www.project-syndicate.org/commentary/four-scenarios-for-persian-gulf-all-suboptimal-by-simon-johnson-and-amir-kermani-2026-05

HONG KONG—A partial reopening of the Strait of Hormuz may be on the horizon. But is a lasting regional settlement any closer?

The prevailing narrative is that the United States has lost control over the situation in the Persian Gulf. And it is certainly true that Iran has acquired a powerful card—the ability to threaten shipping in the Strait—that it did not previously hold. In that sense, the balance of power in its relationship with the US has shifted toward Iran. This shift, along with the matching US blockade of Iranian-connected shipping, implies four possible scenarios: China brokers a lasting peace; Iran descends into chaos; the US walks away entirely; and some muddled version of the status quo continues.

The good news for US President Donald Trump is that he still holds the initiative and can likely choose the scenario he prefers. But Trump still has a major problem because he has three primary objectives: unwind the Iranian nuclear program, permanently reopen the Strait, and not become the president blamed for "losing" Taiwan to China. The bad news for Trump is that he can achieve at most two of these goals.

After his recent summit with Chinese President Xi Jinping, Trump evidently hopes that China's engagement in the Gulf will go beyond its current behind-the-scenes role. China certainly could help to bring about a peace accord that would address what is arguably the most important issue for the US—Iran's nuclear program—while delivering what Iran wants most: massive infrastructure investment (and no more bombing).

Unfortunately, after the Trump-Xi summit, it is increasingly clear that China's price for becoming involved will be steep. While China imports more than 11 million barrels of oil per day—and thus wants lower crude prices—it has large stockpiles and seems confident that it can withstand oil prices at around their current level. China was also buying about a quarter of its liquefied natural gas from Qatar, where output remains severely constrained by the ongoing hostilities and extensive infrastructure damage.

But overall, the prospect of China gaining control over Taiwan looms large. China's leaders will be looking for a series of concessions from the US, while attempting to persuade the Taiwanese that they would be better off with China. The optimal Chinese strategy is to be helpful but not let the US off the hook too quickly. American global weakness helps project Chinese regional strength.

In the second scenario, Trump launches further attacks, either selective (such as on Iran's overland export routes) or widespread (as he has already threatened several times). No one doubts the US military's ability to kill a lot of people and destroy bridges, roads, and buildings. But while this strategy might make Iran ungovernable, it does not end armed resistance.

Remember that the main threat to the Strait of Hormuz comes from low-cost, easily operated drones. If Iran fractures into warring factions, does that reduce or increase the threat to the Strait? If some version of the drone threat remains, will oil tankers (and their crews and insurers) be willing to transit the Strait? The level of realized violence needed to limit tanker traffic is small—the outcome reflects the credibility of the threat. In this scenario, the Strait does not open consistently, the conflict most likely inflicts substantial damage on Iran's Gulf neighbors, and chronic regional instability leaves almost everyone worse off.

In the third scenario, which Trump has also foreshadowed, the US washes its hands of the situation, telling Gulf countries, the European Union, or someone else to take responsibility. This might well reopen the Strait, but likely on terms negotiated by Iran and China. For the US, this scenario implies zero progress on the Iranian nuclear program, making the war worse than pointless: Iran gains effective control over the Strait, and the US walks away with nothing. It would be very hard for the White House to spin this story as a win.

This brings us to the most likely near-term scenario: an uneasy ceasefire that breaks down periodically. When the US is less confrontational, ships can move through the Strait. But if the US lashes out, Iran can choke off traffic in a proportionate manner.

Periods of reciprocal opening and reduced tensions could ease pressure on global prices for oil, natural gas, plastics, and fertilizer, potentially creating space for limited trust-building measures and, over time, renewed negotiations over the nuclear issue. But this is a narrow path on a fragile cliff—one that could collapse at any point before a final agreement is reached. And while the Trump administration might argue that the nuclear issues are now on a "separate track," the US would have made no progress on this front.

In all this, Russia will be the big winner and potential spoiler. With oil prices up and US sanctions against the Russian oil industry in abeyance, President Vladimir Putin has the hard currency he needs to fund his war with Ukraine. Putin wants the Americans bogged down, repeatedly embarrassed, and feeling the need to allow maximum Russian oil exports. In all imaginable scenarios, we should expect Russia to supply Iranian forces with drones and missiles—a highly profitable business model for the Kremlin.

Whether Trump turns to a transactional Xi, risks a broader regional breakdown, or settles for an unstable equilibrium, the era of implicit uncontested US control over the Persian Gulf is over. What emerges instead is likely a more complex and fragmented regional balance in which the Strait of Hormuz remains open only conditionally, with significant implications for global economic stability.

2. Is Trump’s Iran War a Crime of Aggression?

Author: Lawrence Douglas | **Date:** May 21, 2026 | **Original:** https://www.project-syndicate.org/commentary/is-trump-iran-war-crime-of-aggression-by-lawrence-douglas-2026-05

AMHERST—Many commentators, including those on the right, have dubbed US President Donald Trump’s “Operation Epic Fury” against Iran “Operation Epic Fail”: an extravagant waste of money, military hardware, and lives in the service of an ill-conceived war with ever-changing objectives. Meanwhile, most legal observers consider the operation an illegal act that violates the United Nations Charter’s prohibition on the use of military force except for self-defense or in armed interventions authorized by the Security Council.

But debates about the war’s efficacy and legality overlook a deeper issue: whether Epic Fury constitutes a crime of aggression. In an interview with the BBC, Luis Moreno Ocampo, the first prosecutor of the International Criminal Court (ICC) and one of the most prominent jurists in the field of international criminal law, explicitly characterized it as such.

Much turns on the distinction between an illegal war and a criminal one. An illegal war may warrant placing sanctions on the aggressor. For example, Spain refused to allow the United States to use military bases on Spanish territory for operations linked to Iran, and Spanish airspace was closed to military overflights. By contrast, a criminal war potentially authorizes the prosecution of leaders responsible for planning and launching it.

Assessing whether Trump’s war on Iran can be considered criminal raises difficult questions, largely because of ongoing uncertainties about the meaning and scope of criminalized aggression. After all, planning and launching a war of aggression was recognized as an international crime only relatively recently, during the post-World War II Nuremberg trials of the Nazi leadership.

For long periods of Western history, the decision to wage war was a sovereign prerogative. The Nuremberg tribunal sought to puncture the shield of sovereignty. With “crimes against peace” as the gravamen of the case against the 22 Nazi functionaries on trial, the tribunal sought to establish aggressive war as the “supreme” crime in international law.

As I argue in my new book, The Criminal State: War, Atrocity, and the Dream of International Justice, that effort failed. The seeds of that failure were planted in the Nuremberg Charter, which offered precise definitions of war crimes and crimes against humanity (the other charges brought against the Nazi defendants), but failed to do the same for “crimes against peace.” The jurists who drafted the Charter could punt the issue because Nazi aggression, especially on the Eastern Front, blurred the distinction between acts of war and acts of mass atrocity. They reasonably concluded that such actions would be seen as criminal, regardless of the definition.

This left a central question unanswered. Should wars of aggression always be considered criminal, even those that do not involve atrocities? All other serious international crimes, such as crimes against humanity and genocide, seek to respond to harm inflicted on individuals and groups, while aggression seems more focused on violations of a state's territorial integrity or political independence. Why should such violations constitute an international crime? In other words, is the crime of aggression meant to serve as a check on state sovereignty or as simply another bulwark of it?

Such questions vexed jurists and diplomats in the postwar period. The UN sought to build on the Nuremberg precedent, but as Cold War tensions escalated, experts frittered away decades trying to frame a workable and acceptable definition of the crime of aggression (some of that time was wasted on debating whether one was even necessary or realistic). A definition was finally agreed at the 2010 Review Conference of the Rome Statute, but it was not until 2017 that the ICC gained jurisdiction over the crime of aggression.

Still, the current definition fails to answer the central question left unresolved at Nuremberg. According to the ICC, not all illegal acts of aggression constitute the crime of aggression. Only those aggressive acts whose "character, gravity, and scale" represent a "manifest" violation of the UN Charter rise to the level of the criminal.

What does this vague and elusive language mean? The most plausible interpretation is the one implied by the jurists at Nuremberg: aggressive war becomes criminal only when waged in a deformed manner, marked by the commission of systematic atrocities.

Seen in this light, Russian President Vladimir Putin's ongoing war in Ukraine is clearly criminal. The brazenness of the invasion, the mendacity of the proffered justification, and the brutal and indiscriminate attacks on civilians provide a textbook example of the crime of aggression.

Trump's war in Iran presents a more complex case. One could argue that the bombing of 13,000 targets (including a primary school filled with children), coupled with Secretary of Defense Pete Hegseth's reckless remarks about dispensing with the "stupid rules of engagement," suggest that US aggression has turned criminal. On the other hand, unlike Russia, the US has not deliberately targeted civilians.

Unfortunately, the argument remains academic. The ICC's authority to try state leaders for the crime of aggression is so hedged with limitations that even if Putin magically materialized in The Hague, the court would lack jurisdiction to prosecute him for this crime. Together, the US and Russia were the driving force behind the Nuremberg trial and the effort to make state aggression the supreme international crime. The irony is that they have now taken a leading role in undermining the system they sought to erect.

3. The Gulf’s Post-OPEC Order

Author: Rabah Arezki | **Date:** May 20, 2026 | **Original:** https://www.project-syndicate.org/commentary/uae-is-betting-on-a-post-saudi-gulf-by-rabah-arezki-and-tarik-m-yousef-2026-05

BRAZZAVILLE/DOHA—The United Arab Emirates’ decision to leave OPEC and OPEC+ after nearly six decades of membership has dealt a major structural blow to the cartel. Losing its third-largest producer—capable of pumping nearly five million barrels a day, with ambitions to expand further—will make it increasingly difficult for the bloc to perform its central function: managing supply and stabilizing oil prices. Over time, the UAE’s freedom to produce at will, particularly once the Strait of Hormuz reopens, is likely to drive down crude prices and increase market volatility.

But exiting OPEC is much more than an energy-policy adjustment. It is the clearest expression yet of the UAE’s decision to break from the Saudi-led regional order. Above all, it reflects a wager that the country’s future lies in closer strategic alignment with the United States and Israel and deeper integration into global markets, rather than Gulf solidarity.

The timing is no accident. With the Strait of Hormuz closed, Iranian ports under US blockade, and no resolution in sight, every Gulf producer is already constrained. Against this backdrop, as Energy Minister Suhail Mohamed al-Mazrouei noted, the UAE’s departure will not materially affect oil prices in the short term, sparing OPEC and its largest member, Saudi Arabia, any immediate pain. But this framing is a quiet admission that, under normal market conditions, the move would have been far more disruptive. It also suggests that the UAE was waiting for political cover to announce a decision that had likely been made long before the war began.

The geopolitical implications are profound. By quitting OPEC, long considered an instrument of Saudi power, the UAE has called into question the Kingdom’s leadership of the world’s foremost commodity cartel.

Relations between the two countries had been deteriorating long before the split. Over the past few years, the UAE has signed roughly 30 bilateral trade agreements outside the Gulf Cooperation Council framework, reflecting its growing frustration with what Emirati officials have described as the GCC’s glacial pace of decision-making. In response, Saudi Arabia has restricted UAE exports that fail to meet GCC labor-content thresholds and pressured multinationals to relocate their regional headquarters to Riyadh as a condition for securing Saudi contracts. That requirement has been enforced more aggressively since April, though a handful of exemptions have been quietly granted.

While the underlying commercial and financial infrastructure linking the UAE and Saudi Arabia is unlikely to unravel (the two economies remain deeply intertwined), the era of Emirati deference is over. The UAE has made clear it will not subject itself to GCC-level constraints that it views as too great an impediment, too favorable to Saudi Arabia, or both.

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The security implications are equally far-reaching. The war with Iran has accelerated the emergence of a trilateral US–Emirati–Israeli security architecture, whose foundation had already been laid by the Abraham Accords. Emirati officials made no secret of their dissatisfaction with the GCC's collective response as Iranian missile and drone barrages pounded the Gulf. As a result, the UAE has concluded that its real security guarantors sit in Washington and Jerusalem rather than Riyadh. Leaving OPEC is, in this sense, a signal to the US and Israel—and to global capital markets—that the UAE intends to pursue its interests through global alliances rather than as a junior partner in a Saudi-led order.

The reverberations of this shift are already being felt across the region. Once-unthinkable discussions about leaving the Arab League, and even the GCC, are now occurring openly within Emirati policy circles. While that does not suggest an imminent institutional rupture, it does mean that Saudi primacy—which has shaped Arab diplomacy for half a century despite chronic fragmentation and regional rivalries—can no longer be assumed.

Given that Saudi Arabia and the UAE already back opposing factions in Yemen, Sudan, Somalia, Syria, and Libya, their deteriorating relationship is likely to fuel instability across the region's periphery. The collapse of the anti-Houthi coalition in late December was the most visible manifestation of this growing divide, but it will not be the last. As the two countries' willingness to cooperate wanes, each will invest more aggressively in clients and proxies, prolonging some of the world's most intractable conflicts.

Western policymakers may be tempted to view the UAE's OPEC exit as an unambiguous victory: more oil, lower prices, a weakened cartel, and a Gulf partner moving firmly into the US camp. While all of that is true, none of it is cost-free. A more independent UAE will be less tethered to Saudi Arabia, but it will also be more beholden to other powers, including the US.

At the same time, a Saudi Arabia stripped of its assumed diplomatic leadership will come under pressure to reassert its regional influence. And with the Gulf's two largest economies no longer even pretending to coordinate, smaller states will be forced to hedge more aggressively by seeking additional patrons. The risk of escalation, in turn, will rise.

However disruptive the UAE's departure from OPEC may be to oil markets, lower prices and greater volatility are ultimately manageable. But the breakdown of the regional architecture that has held the Gulf together for decades could usher in a far more fragmented Middle East. What comes next will be more fluid, more transactional, and far harder to predict.

4. Iran Is Pressing Its Strategic Advantage

Author: Carla Norrlöf | **Date:** May 19, 2026 | **Original:** https://www.project-syndicate.org/commentary/iran-undersea-cable-toll-hormuz-chokepoint-beyond-oil-by-carla-norrlof-2026-05

TORONTO—The United States has unprecedented power to conduct military strikes anywhere around the world, to impose damaging tariffs and sanctions, and to mete out punishment far beyond its borders in coordination with allies. Few states have possessed so many instruments of coercion, and fewer still have been able to achieve so much leverage through private firms, foreign governments, and the networks of global exchange.

But these tools are expensive to maintain, because they depend on preserving the order they exploit. Applying force drains blood, treasure, and legitimacy. Tariffs and financial sanctions encourage alternative trade arrangements and payment systems. The alliances that magnify US pressure can give rise to burden-sharing disputes. No one doubts that the US is capable of tightening the vise on Iran. The question is whether using its positional advantages for that purpose would be worth the risk of weakening the order that gives American power its reach.

Iran, for its part, has few military and economic assets and few friends. But geography gives it something that America's form of power rarely does: a way to impose costs while collecting rents. The Islamic Revolutionary Guard Corps has already sought to charge ships passing through the Strait of Hormuz, turning transit into a source of revenue, and now Iranian officials and state-linked media have floated the idea of charging fees on the undersea cables beneath the same body of water.

Iran is not only threatening to interrupt global data flows but also probing a major private-sector vulnerability. After all, the US technology giants—Amazon, Google, Meta, and Microsoft—are thoroughly entwined with the US state, and their cloud platforms and data centers depend on undersea connectivity. Iran is treating geography not merely as a chokepoint, but as a rent-producing asset, extending the logic of Hormuz from oil tankers to other sectors. Shippers, insurers, and naval planners were already exposed to the strait, and now Iran wants to put cable owners, cloud providers, and technology platforms under similar pressure.

The geostrategic logic is obvious to anyone who looks at the submarine cable map. Cables close to Iran —including the FALCON, Gulf Bridge International/Middle East-North Africa, Kuwait-Iran, and UAE-Iran systems—run through the Gulf and near the Strait of Hormuz, placing digital infrastructure in the same contested area as tankers and naval patrols.

The geography matters because cables are not taxed where data is consumed, but where the infrastructure carrying it can be threatened. The companies most exposed may be American, but the vulnerability is not located in Silicon Valley or Seattle. It is concentrated at landing points, within territorial waters, and in narrow maritime approaches where states can turn permission into leverage. Iran's proposal exploits this mismatch between the digital economy's profits, which are global, and its weakest points, which remain localized.

This form of rentier power is different from the 20th-century model, which rested on ownership of oil, minerals, land, ports, and financial infrastructure. Iran has figured out that it does not need to own the flow of a critical good to gain an advantage; it only needs to threaten that flow at a single point.

Submarine cables highlight the hard physical reality that underpins digital life. Undersea networks are not invisible plumbing. The "cloud" does not actually resemble a cloud. They are old-fashioned infrastructure, routed through theaters of politics and power. The cloud has a seabed, and data flows depend on specific landing stations, repair ships, licenses, corporate owners, and security guarantees. That physical dependence makes cables attractive targets in modern conflict. Even temporary damage can have serious economic, military, and financial consequences.

Hormuz is no longer simply open or closed. Selected ships have crossed, but only after entering various arrangements involving Iran. Access is being treated not as an established right but as a conditional privilege. Undersea cables are the next test of how far Iran can extend the rentier logic. This strategy does not require Iran to defeat the US or sever the world's energy and data flows. To succeed, Iran only has to create enough uncertainty about those flows that predictability acquires a price.

The Trump administration will likely seek to make Iran's price harder to collect by contesting tolling claims before they acquire legitimacy, working with insurers and Gulf states before panic drives up prices, and ensuring that repairs cannot be held hostage. Over time, the US can build resilience by expanding cable routes, landing points, and repair capacity, reducing the network's dependence on any single passage near hostile states. The aim is not only to keep Hormuz open, but to make insecurity less profitable.

The cable-fee proposal may never become workable policy. But it reveals an ambition suited to Iran's circumstances. Military and economic coercion usually costs the coercer as well as the target. Iran is looking for an option that both costs its adversary and generates revenue for itself. Unable to match America's military or financial reach, Iran can still use geography to make the world pay to avoid a war.

5. Brothers in Humiliation

Author: Carl Bildt | **Date:** May 18, 2026 | **Original:** https://www.project-syndicate.org/commentary/trump-putin-failed-wars-of-choice-by-carl-bildt-2026-05

STOCKHOLM—Two aging leaders are struggling to get out of disastrous wars that they personally drove their countries into. Neither is succeeding.

When Russian President Vladimir Putin launched his full-scale invasion of Ukraine in early 2022, his goal was to bring about regime change in Kyiv and declare victory within days—not a “war” but a “special military operation.” Similarly, when US President Donald Trump launched an all-out attack against Iran, his goal was to bring about regime change in Tehran and declare victory within days—not a “war” but an “excursion.”

Both men made the decision to start a war without following the normal policy-planning process, let alone considering all the possible consequences and second-order effects. Putin had been sitting in isolation during the COVID-19 pandemic, reading histories of the old Russian empire. When the time came, he rammed his “special military operation” through Russia’s Security Council, brooking no dissent. The official most directly responsible for the Ukraine file did object, but was overruled and has since resigned.

Similarly, Trump went to war after chalking up a quick victory in Venezuela, and after hearing from Israeli Prime Minister Benjamin Netanyahu that the Iranian regime would surely collapse under pressure. Trump’s own CIA director dismissed that optimistic scenario as “farcical,” and even his obsequious vice president, JD Vance, expressed reservations. But the decision was made, and the file was handed over to the “Secretary of War,” whose comically bellicose rhetoric has invited more ridicule than respect.

Now, both leaders are bogged down with no clear path out of the mess they have made. Ukrainian President Volodymyr Zelensky has mustered a successful defense of his country, limiting Russia’s advances for four straight years. Meanwhile, despite losing its senior leadership and suffering major blows to its conventional military capabilities, the Iranian regime has survived and asserted de facto strategic control over the Strait of Hormuz by leveraging the same drone technologies as the Ukrainians.

Since neither Ukraine nor Iran is contemplating surrender, the misguided men who started each conflict have begun to roll back their war aims. Although Putin cannot openly acknowledge that he will never conquer Ukraine, he is now desperately hoping for a political settlement that hands him the slices of the Donetsk region that his armies have failed to control. And although Trump has recklessly threatened to eradicate the Islamic Republic, he is desperately hoping for a political settlement that will reopen the Strait of Hormuz and allow for a nuclear agreement not unlike the one from which he withdrew the United States in 2018.

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But neither leader has made much headway even toward their more modest objectives. Putin can order his armies to advance, but they cannot actually do it. Tens of thousands of increasingly low-quality recruits are being sent to die, with nothing to show for it. The Russian war economy is churning out Iranian-model attack drones in huge numbers, but the Ukrainians have proven to be even more innovative. Their drones are not only holding the line of defense but also striking energy infrastructure and military targets deep within Russia.

To be sure, Ukraine receives external support—primarily from the Europeans, now that the US has blundered into its war with Iran, burning through half its stockpile of advanced missiles in the process. Fortunately, Ukraine's own defense industry now meets half of its military needs, whereas Russia has grown increasingly dependent on China for economic support, and on North Korea for shells and cannon fodder. The glorious Russian army that Putin read about in his history books is a thing of the past.

The US and Israel certainly enjoy overwhelming military superiority over Iran. They can bomb at will across the country, laying waste wherever they want. But without putting boots on the ground, they cannot convert military dominance into political success. No country can be subjugated by air power alone.

I imagine that Putin is gnashing his teeth in the Kremlin, or in some hidden bunker, yelling at the people who cannot give him the victory he desperately needs. And Trump unwittingly airs his own desperation daily on Truth Social. The old adage is true: it is much easier (and more exhilarating) to start a war than to end one.

At some point, each leader's failed war will change his respective regime. Although rising oil prices might offer some financial respite for Putin, the Russian economy will need much more than that in the long term. And now that the Russian population has grown accustomed to the comforts of the digital age, there are limits to what traditional propaganda and repression can do. If Russian history is a guide, failed wars lead to political change—as happened after the Russian defeat to the Japanese in 1905 and the Soviet defeat in Afghanistan. Putin's legacy will be defined by his failure in Ukraine.

As for Trump, he promised no more regime-change wars. But he convinced himself that there is nothing the US military cannot do, and now every American consumer is paying the price. Many of his supporters see a man who has lost his way, while the rest of the world sees a superpower that has discredited itself.

We know that Putin and Trump occasionally have long conversations. Putin wants Trump to help him win in Ukraine; but Trump cannot, because he no longer holds the cards to bring about such a result. Meanwhile, Trump has probably asked Putin to help him subdue Iran; but Putin couldn't even if he wanted to, because he doesn't hold any cards, either.

Putin and Trump have achieved one thing, at least. The Norwegian committee that awards the Nobel Peace Prize will be able to work without distraction. Putin was never under consideration, and if Trump was, he never will be again.

6. When Volatility Is Good Politics

Author: Mohammad Reza Farzanegan | **Date:** May 18, 2026 | **Original:** https://www.project-syndicate.org/commentary/iran-war-exemplifies-thugocracy-in-action-by-mohammad-reza-farzanegan-2026-05

MARBURG—The US-Israeli war with Iran has revealed how instability can become a powerful political instrument. Leaders can exploit crises to maintain supporters' loyalty, even while imposing costs on them, and extract concessions from domestic and foreign adversaries through coercion and manufactured unpredictability. In a forthcoming paper, Canadian economist Ronald Wintrobe calls this dynamic "thugocracy": a form of rule grounded in coercion, intimidation, and unpredictability.

Over the past three months, the conflict has swung repeatedly—sometimes within hours—from escalation to de-escalation, with threats, strikes, sanctions, tolls, and ceasefire announcements following one another at breakneck speed. On April 7, for example, only hours after warning that "a whole civilization will die tonight," US President Donald Trump abruptly shifted course and announced a ceasefire, claiming that America's military objectives had already been achieved.

Conventional frameworks for diplomacy and deterrence are poorly suited to a conflict of this kind. Here, Wintrobe's thugocracy concept is especially valuable because it highlights how coercion, instability, and political loyalty can interact in ways that redistribute the costs and benefits of conflict unevenly across society. Political and economic insiders have the financial resources and privileged information to benefit from instability, while all others absorb the costs. Convinced that the sacrifices imposed by war, sanctions, and economic coercion serve a larger purpose, the leader's supporters are willing to endure substantial hardship.

The Trump administration illustrates how war and profit are becoming increasingly intertwined. In March, for example, the Financial Times reported that a broker associated with Secretary of "War" (Defense) Pete Hegseth attempted to acquire a defense-focused investment fund just before the start of the Iran war. While that allegation remains disputed, the broader dynamic is clear: those closest to power are uniquely positioned to anticipate shocks, hedge against them, and profit from the instability that follows. Prediction markets like Polymarket have pushed that logic even further, turning geopolitical escalation itself into a speculative asset.

The pattern extends beyond financial markets. Trump has repeatedly threatened to "take" Iran's oil and target key oil-export infrastructure, including facilities on Kharg Island, underscoring how deeply material interests are embedded in his strategic calculus.

Trade policy has likewise become an instrument of coercion, with Trump threatening to impose sweeping tariffs on countries that continue trading with Iran. Together with sanctions and military pressure, trade restrictions have become part of a unified bargaining strategy aimed not only at weakening Iran but also at maximizing US leverage over third countries.

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Viewed against the backdrop of Iran's economy before the war began, the effects of these measures become much clearer. After decades of Western sanctions, many households were already grappling with falling living standards, while domestic industries struggled to stay afloat.

In a recent study, Nader Habibi of Brandeis University and I show that international sanctions were associated with a significant contraction of Iran's middle class between 2012 and 2019. This was not simply a temporary shock, but the result of sustained declines in real incomes, persistent inflation, and severe labor-market disruptions. As purchasing power eroded, many households experienced downward mobility.

The consequences were not limited to lost income. Studies have shown that sanctions have made essential drugs far more expensive and harder to obtain. For many patients, this meant missing or delaying treatment and heightened health risks. These economic and social pressures helped fuel the mass protests that swept Iran in early 2026.

The war is therefore devastating an economy already weakened by years of cumulative shocks. And because ordinary Iranian households bear most of these costs, external actors remain insulated from many of the immediate political costs of escalation.

This helps explain why coercive policies may retain support among a leader's core constituency despite imposing significant economic costs. Drawing on the concept of "Giffen goods," Wintrobe argues that some policies can continue to command support even when they leave supporters materially worse off. That does not mean that the Iran war is popular among American voters, or that Iran's government enjoys majority support. Rather, the mechanism operates within particular constituencies. In the United States, it may work through partisan loyalty, narratives of strength, and selective information flows. In Iran, external attacks and sanctions can reinforce nationalist solidarity, even among citizens who remain critical of the regime.

Information is central to this process, especially among Trump's core supporters. The issue is not formal censorship, but a fragmented and polarized media environment in which the costs of the Iran war can be reframed as the price of strength, deterrence, and national renewal. In such a setting, economic strain can more easily be attributed to Iran, foreign rivals, or domestic opponents rather than to the administration's own decisions. At the same time, Trump's rapid shift from threatening Iran with catastrophic destruction to announcing a ceasefire can be cast as tactical success, reinforcing the perception that the president is acting decisively and strategically.

Identity also plays a powerful role. When policies are framed as vital to national security, they can create a strong sense of collective purpose even as they impose severe economic costs. That is because public attitudes are shaped as much by status, identity, and fear of external threats as they are by material interests.

In times of war, the connection between policy choices and economic hardship becomes obscured, making alternative explanations easier to accept. The result is a political equilibrium that perpetuates costly and destabilizing policies. The persistence of sufficient public support for such measures reflects the interplay between economic incentives, weak political accountability, restricted information, and identity politics, rather than simple voter irrationality.

Moreover, when war generates economic gains for certain groups, it can create powerful incentives to prolong it. While not every beneficiary seeks escalation, some actors are structurally positioned to profit from it.

The fallout does not stop at national borders. Rising prices, supply-chain disruptions, and heightened uncertainty ripple through the global economy, affecting households and firms far beyond the immediate conflict zone and reshaping political incentives worldwide.

The fragile ceasefire with Iran may pause the violence for now, but it does not alter the underlying incentives driving the conflict. As long as volatility enriches the powerful while ordinary people pay the price, escalation will remain politically useful. The real challenge, therefore, is to sever the link between geopolitical instability and private gain.

7. The World After the Iran War

Author: Shlomo Ben-Ami | **Date:** May 14, 2026 | **Original:** https://www.project-syndicate.org/commentary/iran-war-lead-to-less-stable-and-more-fragmented-world-order-by-shlomo-ben-ami-2026-05

TEL AVIV—Major wars usher in new international orders. The Thirty Years' War brought the Peace of Westphalia. The Napoleonic Wars gave rise to the Concert of Europe. World War II spurred the creation of the Bretton Woods system, decolonization, and European integration. Even the Cold War gave way to a liberal world order, with the United States as its hegemon.

But not all wars lead to better international orders. The Iran war is likely to prove particularly damaging in this respect.

The war is likely to make matters considerably worse than they were when the US and Israel launched it. Far from being replaced by a more Western-friendly entity, the Iranian regime has hardened into a military dictatorship. Whatever concessions this regime ends up making on its nuclear program, its ties with China, Russia, and North Korea will remain intact, and Iran will remain a destabilizing force in the Middle East.

The difference is that Iran's neighbors in the Gulf have now lost faith in their American protector and are weaker and more divided than they were before the war. To be sure, the Gulf's position was always somewhat tenuous. There were deep rifts between the United Arab Emirates and Saudi Arabia, and between Qatar and all the other sheikhdoms. The Gulf Cooperation Council (GCC) never lived up to its potential as a political and economic union, let alone a military alliance. And the Gulf's carefully cultivated image as a haven of stability and a lucrative commercial hub had its blemishes.

But the Iran war has shattered that image, constraining their sovereigns' lavish investment projects and undermining—perhaps fatally—their efforts to diversify their economies away from oil. Moreover, the war has exposed the GCC's dysfunction and deepened cleavages among its members.

Saudi Arabia sought to prevent this war through diplomacy, prohibited the US from using its bases and airspace to escort oil tankers through the Strait of Hormuz, and continues to work with Pakistan behind the scenes to mediate an end to the conflict. The result is an emerging Saudi-Pakistani alignment and a continued Saudi policy of appeasement toward Iran.

Qatar (with its ties to Turkey) and Oman are also likely to continue appeasing Iran. The UAE, by contrast, has sharply criticized its neighbors for their failure to mount a decisive response to Iran's attacks on their territory, and it has withdrawn from OPEC. The country is now increasingly aligned with Israel, as well as Bahrain and India.

Similar fragmentation can be seen in the West, as the war deepens the rift in the transatlantic alliance. Contrary to the prevailing narrative of recent decades, the transatlantic alliance was never a foregone conclusion. The US has a long history of isolationism and protectionism, exemplified by President Woodrow Wilson's withdrawal in 1919 from the League of Nations and refusal to provide any commitment to Europe's security—a stance that opened the way for Adolf Hitler's rise and another war.

More recently, President Barack Obama sacrificed the planned deployment of ballistic missile defenses in Eastern Europe on the altar of his diplomatic "reset" with Russia. His defense secretary, Robert M. Gates, later criticized America's European allies for their "apparent unwilling[ness] to devote the necessary resources" to act as "serious and capable partners in their own defense." After Russia's 2014 invasion of Ukraine and illegal annexation of Crimea, Obama chose not to rally America's NATO allies to deter the Kremlin.

But Donald Trump has taken this to the next level, adopting an overtly antagonistic stance toward Europe, which has included threats to annex Greenland and withdraw the US from NATO. Europe has responded by embracing a new form of Gaullism, characterized by heavy investment in strengthening its defense capabilities and achieving strategic autonomy.

But Europe's security transformation is just beginning. The continent—which does not control its own digital infrastructure—will have to close the innovation gap with the US and achieve some level of technological autonomy. And European neo-Gaullism, like the original, will sooner or later embrace the logic of nuclear deterrence.

The Iran war has injected new urgency into this process. Despite having launched the war without consulting America's NATO allies, Trump demanded that Europe join the US in the fight—in particular, to help reopen the Strait of Hormuz. When Europe refused, the US announced that it would withdraw 5,000 troops from Germany and threatened further action against Italy and Spain. At this point, no reasonable European considers US security guarantees to be reliable.

But it is not only Europe that has lost faith in the US. The Global South, which Trump had already alienated with his tariffs and suspension of development aid, is bearing the brunt of his war of choice in Iran. America's inability to compel its own allies to help reopen the Strait of Hormuz, together with the spectacle of developing countries scrambling for energy and fertilizer supplies, feeds a narrative of US overreach and decline.

Meanwhile, amid the US-induced chaos, China has shrewdly positioned itself as a force for stability. It has thus raised its global profile at a very low cost. Many European leaders have visited Beijing in search of a reliable trade partner, but China has made no concessions on Ukraine, human rights, or overproduction and dumping.

At this week's summit with Chinese President Xi Jinping, Trump has an opportunity to negotiate a deal that would ease trade tensions and open the way for cooperation on critical issues, not least the wars in Ukraine and Iran. An agreement to mitigate the risks posed by AI would be no less consequential than the US-Soviet Strategic Arms Limitations Treaties were during the Cold War. But if Xi maintains his zero-sum diplomacy, as seems likely, the world will be the loser.

8. Interest Rates Can't Control Today's Inflation

Author: Carolina Alves | **Date:** May 11, 2026 | **Original:** https://www.project-syndicate.org/commentary/why-interest-rate-hikes-are-unlikely-to-curb-inflation-by-carolina-alves-1-2026-05

LONDON—For much of 2025 and early 2026, central banks have framed their decision to hold interest rates steady as an exercise in prudence. With inflation once again edging upward even as growth slows, institutions like the US Federal Reserve and the Bank of England have emphasized patience and "data dependence" as the responsible course, an approach shaped above all by lingering fears of recession.

That stance has pushed the policy debate toward a familiar question: How long can central banks resist raising interest rates? But that framing misses the point. The real issue is not the pace of monetary tightening; it is whether policymakers can maintain the fiction that higher interest rates are an effective, or even neutral, response to the inflationary pressures advanced economies currently face.

Today's inflationary pressures are not being fueled by overheated labor markets or surging consumer demand. They reflect higher energy prices, geopolitical conflict, climate-related disruptions, fragile supply chains, and—increasingly—the pricing power of large corporations. Given that the problem is not excessive borrowing or spending, raising interest rates does little to address inflation's underlying causes.

These pressures are likely to intensify. The United Arab Emirates' recent decision to exit OPEC is about more than an internal dispute within a commodity cartel. It signals a deeper structural shift in the political economy of energy, marked by changing power dynamics in global oil markets and the weakening capacity of existing institutions to manage a resource that is both highly financialized and geopolitically fraught.

Because OPEC's influence has long rested on its members' restraint, the UAE's departure undermines the bloc's traditional role in managing supply. With one of its largest and most flexible producers breaking away, coordination becomes harder to sustain, increasing market volatility. Oil markets, in turn, are responding less to collective strategy than to fragmentation, geopolitical risk, and unilateral decision-making.

As a result, central banks find themselves in an increasingly uncomfortable position. If they keep interest rates lower for much longer, they risk eroding their credibility as headline inflation ticks upward. Conversely, raising rates too aggressively could deepen recessionary pressures, exacerbate private and public debt burdens, and further squeeze households already battered by rising food, housing, and energy costs.

Against this backdrop, monetary authorities are not freely choosing between clear policy options. They are operating within tight structural constraints imposed by financial markets, fiscal fragility, and political pressures, especially when it comes to unemployment. Markets, for their part, increasingly anticipate rate hikes not because they will solve inflation, but because central banks feel compelled to act, even when their tools are ill-suited to the task.

The distributional consequences of that policy reflex are often overlooked. Higher interest rates act as a disciplinary mechanism: they protect asset values, reward creditors, and shift the burden of adjustment onto workers, mortgage holders, and heavily indebted countries. Casting inflation as a labor-market problem, even though it is driven by energy monopolies, geopolitical tensions, and supply disruptions, is a political choice, not an economic necessity. In reality, higher interest rates do not eliminate inflation so much as redistribute its costs through higher unemployment, increased household debt, and fiscal retrenchment. This is not an unintended side effect of monetary policy, but the mechanism through which inflation is typically managed.

That reality has done little to shift the terms of debate. Policymakers continue to treat inflation as a monetary problem rather than a structural and distributional one. Central banks respond by tightening financial conditions, but higher interest rates do nothing to reduce food prices, which reflect surging fertilizer and energy costs. They do, however, raise the risk of job losses, mortgage distress, and entrenched poverty.

If inflation remains elevated for years, the problem becomes one of social exhaustion. Households cannot keep absorbing higher costs without long-term damage, from rising indebtedness to poorer nutrition and worsening health outcomes. At that point, inflation is no longer just an economic issue but a source of political instability, potentially leading to a crisis of institutional legitimacy.

These dynamics underscore the limits of central banks' current approach. As inflation becomes closely tied to climate shocks, war, and the strategic control of essential resources, monetary policy alone cannot stabilize prices without imposing serious social and economic costs. Higher interest rates may suppress demand, but they cannot produce oil and natural gas, unblock ports, repair supply chains, or reduce corporate markups.

Central banks can delay rate increases, move gradually, or embrace "optional pauses." But such tactical adjustments do not resolve the underlying contradiction: policymakers are using a technocratic instrument designed for demand management to curb price increases driven by structural and political forces.

Until that contradiction is addressed—through coordinated energy policy, public investment, price regulation, industrial strategy, or active fiscal intervention—interest rates will continue to oscillate without resolving the problem they are meant to solve. Monetary tightening will remain a symbolic gesture to convey control rather than a real solution.

At its core, policymakers' continued reliance on interest rates to manage crises stemming from the interplay between energy markets, corporate power, and geopolitical conflict reflects how inflation is framed. Treating structural inflation as a demand-management problem allows policymakers to appear decisive while avoiding a more difficult confrontation with those who set prices, control resources, and extract rents. That, too, is a policy choice—one whose social costs are becoming harder to ignore.

9. Is the Global Financial System Making the Hormuz Shock Worse?

Author: Hanan Morsy | **Date:** May 8, 2026 | **Original:** https://www.project-syndicate.org/commentary/global-financial-system-making-hormuz-shock-worse-by-hanan-morsy-2026-05

ADDIS ABABA—The closure of the Strait of Hormuz has caused severe price spikes, which are hitting the world's most vulnerable people the hardest. Since the start of this year, the price of Brent crude has risen by at least 41% (topping $100 per barrel), that of urea (a component in fertilizer) by about 50%, and container freight rates by 21%. Maritime insurance premiums have surged up to ninefold, and 29 African currencies have depreciated. And as if these shocks were not bad enough, the global financial system's response has made matters worse.

Just when many economies need liquidity, financing conditions have tightened, risk premia have widened, and key tools for such emergencies are scheduled to be phased out. Mechanisms designed to absorb stress have instead amplified it. The global economy is not only more volatile than in the past, but also structurally vulnerable to geopolitical conflict, trade fragmentation, climate shocks, technological shifts, and other broad forces that are overlapping and compounding in real time.

The current financial architecture was supposed to ensure stability by providing liquidity when capital retreats, cushioning economies when shocks hit, and encouraging investment when uncertainty rises. But we have just witnessed the opposite. As capital has fled to safety, borrowing costs have climbed, and many countries have found themselves with even less fiscal capacity to respond to the shock.

For example, in Africa, financing conditions tightened as net oil-importers faced surging fuel and food import bills. Yet one of the few instruments designed for such occasions, the International Monetary Fund's Rapid Credit Facility for low-income countries, is set to phase out the higher access limits that were implemented during the COVID-19 pandemic. Meanwhile, middle-income countries borrowing under stress continue to pay extra under the IMF's surcharge policy.

While the IMF defends this policy as necessary to encourage repayment and safeguard its resources, the policy is procyclical because surcharges are being levied on the largest outstanding balances, which invariably are held by economies under the most stress. Recent research maps the regressive effects of these dynamics. Just when countries need to be pursuing countercyclical measures (such as stimulus in the face of a contraction), the safety net shrinks, and the cost of shock absorption spikes.

Moreover, the cost of capital has risen. After averaging 2.4% through the 2010s and touching a trough near 0.6% during the pandemic, the US 10-year Treasury yield has risen to approximately 4.36%, a level that increasingly appears structural rather than temporary. For emerging and developing economies carrying high debt loads, this raises the hurdle rate (the minimum expected return on investment) for every energy, infrastructure, food-system, and climate-resilience project. Again, the system is tightening financial conditions at precisely the moment when it should be loosening them.

But this is not an unintended consequence. The system is functioning as designed. It was built for a world of episodic shocks and orderly recoveries, not one characterized by persistent, overlapping sources of disruption. In this new world, procyclicality is no longer a minor flaw; it is a binding constraint on growth and stability.

Africa suffers the most from these dynamics, owing to its large investment needs, limited fiscal buffers, and continued reliance on external financing. As climate, geopolitical, and other shocks increase debt burdens across the continent, health and education spending is crowded out. Many countries are advancing prudent, growth-enhancing domestic reforms, but these external forces undermine the results.

The situation calls for not just more financing or faster disbursement, but also built-in stabilizers to remove the clearest sources of procyclicality. In the case of the IMF, that means preserving emergency financing facilities, reactivating the Food Shock Window, and eliminating procyclical surcharges on borrowers that rely on these facilities.

Similarly, for the World Bank, minimizing procyclicality means frontloading International Development Association financing, scaling up contingent credit lines (with larger limits) and other resources for vulnerable lower-middle-income countries, and expanding local-currency lending to reduce the foreign-exchange mismatches that make depreciation episodes more painful. And for regional development banks and financial institutions, it means deploying trade finance and letters of credit to keep energy and fertilizer supply chains functioning.

More broadly, policymakers must start overhauling the global financial architecture to include predictable, rules-based instruments that disburse automatically when agreed indicators are breached, rather than waiting for governing board decisions months into a crisis.

By rechanneling the IMF's international reserve asset, Special Drawing Rights, toward multilateral development banks as hybrid capital, we can turn idle reserves into resilience-building investments in vulnerable economies. By implementing the G20's 2022 Independent Review of Multilateral Development Banks' Capital Adequacy Frameworks, we can unlock an additional $300–400 billion in lending over the next decade without new capital from shareholders. And by revisiting the structure of shareholding, representation, and quotas at international financial institutions, we can give the countries most exposed to global shocks a meaningful voice in setting the rules.

The issue is not a funding or liquidity shortfall. In a world marked by persistent disruptions, we are still relying on a system built for temporary shocks. But resilience cannot be improvised; it must be engineered into the system itself.

10. The Iran War’s Strategic Fallout

Author: Ian Bremmer | **Date:** May 7, 2026 | **Original:** https://www.project-syndicate.org/commentary/iran-war-strategic-fallout-us-allies-middle-east-china-by-ian-bremmer-2026-05

NEW YORK—The US-Israeli war with Iran has done much more than destabilize the Middle East, trigger a surge in energy and other prices, and disrupt the global economy. It has also left US allies and rivals scrambling to respond to an unpredictable and unreliable superpower. The result is an historic geopolitical realignment that will shift the global balance of power over the next decade.

Of course, the war’s effects are most immediate and profound in the region where it is being fought. It has already helped persuade many Gulf Arab states that the Gulf Cooperation Council—a loose diplomatic, economic, and security arrangement long plagued by infighting—is no longer fit for purpose.

The war also intensifies the rivalry between Saudi Arabia and the United Arab Emirates, which recently announced its intent to end its nearly six-decade membership in OPEC. The UAE will now align more closely with Israel on intelligence, technology, and security, in hopes of crippling the Iranian regime. Saudi Arabia, by contrast, will try to find ways to live peacefully alongside the Islamic Republic by pursuing tighter military alignment with nuclear-armed Pakistan, as well as with Egypt and Turkey, and closer coordination with China.

Both these blocs will also try to keep their close security ties with the United States; but that will no longer be as easy as it once was. One of the most immediate and striking effects of the war is that it has eroded the foundation for coordinated decision-making across the Middle East.

Then there is the flagging transatlantic relationship. At a time when Russia’s war on Ukraine is fueling anxieties across Europe, the Trump administration’s decision to focus on Iran—and then to lash out at European leaders for not helping—generates new momentum toward a European collective-defense arrangement outside NATO.

True, President Donald Trump is unlikely to try to withdraw the US from the transatlantic alliance, and the US Senate could legally block such a step. But his May 1 announcement that the US would withdraw 5,000 of its 36,000 troops stationed in Germany, coming just a few days after German Chancellor Friedrich Merz criticized the war, has caused further alarm across the continent. Trump has also ignored European objections to the suspension of some sanctions against Russia.

The result is a deeper fragmentation within the Western alliance, and growing European fears that the White House may eventually push for a US-Russia security understanding. That prospect gives Russian President Vladimir Putin reason enough to continue his war in Ukraine, in the hope that Russia can eventually break through as NATO breaks down.

Across Asia, the effective closure of the Strait of Hormuz is inflicting a heavy economic cost. Like America's historical partners in Europe, its Asian allies are feeling insecure about the Trump administration's longer-term security and economic commitments. But countries like Japan, South Korea, and Taiwan have fewer alternatives than do Germany, France, and Britain. There is no Asian NATO to tie them to Washington, nor any EU-like institution to bind them to one another.

Moreover, they all face pressures created by China's economic, technological, and (growing) military power. China is now acting more assertively toward Taiwan's ruling party and Japan's government. These and other factors substantially limit the possibility that America's Asian allies can follow the Europeans toward greater independence from the US.

As for China itself, Chinese President Xi Jinping, aware that the economy is slowing, and that the adventurism of Trump and Putin has done them and their countries no favors, has refrained from using America's moment of distraction to take on new risks. Instead, he is likely to lavish Trump with pomp and circumstance when Trump visits Beijing this month, seeking an explicit US disavowal of Taiwanese independence claims. In return, Xi might pledge sizable Chinese commitments to purchase US goods. Even Trump's closest advisers cannot be sure that he would resist that temptation. Needless to say, US allies in Asia and elsewhere will be watching closely.

The Iran war has also accelerated another important shift involving China. It has shown Iran's leaders and the world just how easy and inexpensive it is to close the strategically vital Strait of Hormuz to oil and gas trade. Other bottlenecks, like the Bab al-Mandab, which separates Yemen from Africa, and even the Strait of Malacca in Southeast Asia, are all potentially in play. Moreover, this comes at a time when China is the undisputed global leader in sustainable energy, electric vehicles, and batteries, and the critical minerals and reprocessing that support them.

China's own historic shift toward post-carbon energy production makes it a far more appealing commercial partner for the world's major energy importers. Everyone needs more energy, and while that confers near-term benefits on the US (and the dollar) as the world's largest hydrocarbon producer, the vulnerabilities exposed by the war create enormous longer-term opportunities for China.

For all these reasons, the still-raging Middle East conflict will do more to shift international partnerships and the global balance of power than any event since the end of the Cold War.

11. The Iran Standoff and the Future of Oil

Author: James K. Galbraith | **Date:** May 6, 2026 | **Original:** https://www.project-syndicate.org/commentary/iran-war-endgame-no-good-options-for-trump-by-james-k-galbraith-2026-05

AUSTIN—More than nine weeks into the three-day war on Iran—recently declared "over" by the White House even as threats continue—it is not yet possible to disentangle rationales and pretexts. What was said in meetings, and by whom, even when a full accounting emerges, will not necessarily be dispositive, because some unstated reason may still underlie whatever argument was made.

We do know that Donald Trump's presidency is dominated by a real-estate culture. The president, his family, key cabinet members, advisers, and donors are drawn from the world of hotels, luxury resorts, and casinos. They are not lawyers, elected officials, or lifelong bureaucrats, let alone college professors. Prices and asset values are their bread and butter. So, let us suppose that they have thought this through in terms of the economics of oil.

Our analysis can start with the fact that the United States is now the world's largest oil producer, owing to fracking in the Permian Basin of West Texas and southeastern New Mexico. With the estimated break-even price for Permian crude (about $65 per barrel) higher than the oil price was between July 2025 and February 2026, the well count in the Permian has fallen by about one-third since 2023, with production reaching a record in 2025, thanks to improved efficiency. Arguably, the pre-war price was too low for sustained profitable drilling, and so for the private-equity interests who had moved into the Permian Basin in 2020-21, when oil properties were very cheap.

The effect of the war's first month was to take oil supplies from the southern Gulf largely offline, reducing global oil flows by about 10%. From these basic facts, a valuation formula that Jing Chen and I present in our book Entropy Economics predicts a price increase of 60%. In the event, West Texas Intermediate (WTI) crude rose by 60%—from around $65 to $104 per barrel—during the first month of the war.

From the US producers' perspective, this was a good result—a bit too good. When prices rise above $90 per barrel, cost-push inflation begins to bite at home, and Asia and Europe begin to suffer painful shortages (not only oil, but also sulfur, urea, and helium). And if the price goes much higher, demand begins to fall. As the war continued, prices surged above $110 per barrel until April 8, at which point the US declared a ceasefire, and they fell.

No one can ever be sure what Trump is thinking, but he may have realized that another attack on Iran will not work. The Islamic Revolutionary Guard Corps has made clear that it would retaliate by destroying critical infrastructure across the entire Gulf and in Israel. According to our formula, a full shut-off of the Persian Gulf would drive the WTI price to about $155 per barrel, which would collapse the market and bring prices back down the hard way. The best result for the US side, then, is an open Gulf with a reduced flow, yielding a US price between $80 and $100 per barrel.

The problem is that if Iran controls the flow, this optimal price for the US is also very good for Iran. Indeed, Iran upped its production in March, taking market share from the blocked and damaged southern Gulf. The irony is striking. Although the two countries are at war, their governments' economic interests appear to coincide. Of course, from the US-Israeli perspective, the wrong country is benefiting from a partial shutdown of the Strait of Hormuz.

The Trump administration thus responded with a blockade, though without enough ships to catch all the Iranian ones. The choice of a blockade implies hope for a deal, whose unstated purpose could be to stabilize the price in the desired range for the rest of Trump's term. This would be a win-win for the US and for Iran. But it would likely mean sacrificing the US-allied Arab monarchies in the Gulf and delivering a strategic defeat for Israel. The United Arab Emirates's departure from OPEC might be read as a reaction to this possibility; so, too, might Israel's pressure to renew the war.

The result is a gigantic game of chicken, with the world economy on the block. Even a leaky blockade might, over time, force Iran to fill its oil storage, and then to curtail production. With that potential leverage, Trump has an interest in drawing out the face-off for as long as possible. But naval deployments cannot last indefinitely, and one damaged aircraft carrier is already heading home.

If Iran can hold out, the US eventually will have to fold, and the oil price will fall as production recovers. By tolling traffic through the Strait, Iran can then prosper at a lower price level, even with an entirely open Gulf and all taps flowing. As for the US, its own energy independence, and Europe's recent dependence on US oil and liquefied natural gas, will gradually decline. Much of the world would then have to turn to Russia and to the Persian (now very "Iranian") Gulf.

Trump and his people therefore face a dilemma. They could collapse the world economy now (and maybe they will); they could walk away (and maybe they will), accepting both an immediate defeat and longer-term erosion of the US position; or they can stall and hope for a deal. And if an unpalatable deal is the best Trump can get, his interest is to stall for as long as possible and pray for a miracle.

His prayer is unlikely to be answered, though. Iran is tough, and time is (mostly) on its side. The Iranians know that the usual American endgame (not unique to Trump) is to walk away from defeat, take the humiliation, and move on. In that case, the oil price will fall, and eventually the private-equity interests in the Permian Basin will go bust. It may take a while to get there, with flip-flops and bombast along the way; but short of a global calamity (still a distinct possibility), this seems to be the way out.

In principle, the US could take another path over the longer term. Voters could kick out the speculative class now in charge, and the country could develop a national energy policy—and start producing, pricing, and allocating energy for the benefit of the whole US population. It could even return to the international community as a partner, rather than as a would-be imperator.

Then again, one should never bet on something just because it is possible.

12. How Should Europe Respond to the Energy Shock?

Author: Daniel Gros | **Date:** May 6, 2026 | **Original:** https://www.project-syndicate.org/commentary/europe-should-strengthen-ets-instead-of-lowering-fuel-taxes-by-daniel-gros-2026-05

SOFIA—Since Israel and the United States launched their war on Iran in February, global energy prices have skyrocketed, with crude oil reaching nearly $115 per barrel at the beginning of this month. While this shock has hit low-income countries the hardest, it also places significant strain on high-income Europe. But it also presents an opportunity for Europe to reinvigorate its green transition—and European governments are failing to seize it.

By highlighting the risks associated with dependence on foreign oil and making fossil fuels less competitive vis-à-vis renewables, the current price shock makes the political and economic case for the green transition stronger than ever. But governments fear the short-term political consequences of consumer anger over higher energy prices, so, rather than capitalizing on this moment to accelerate progress, they are scrambling to keep consumers' costs low by cutting fuel taxes.

As the International Monetary Fund has noted, this approach is fundamentally flawed. For starters, the price increase in Europe has not actually been that extreme: because fuel taxes account for up to half of what Europeans usually pay at the pump, the price rise has been far smaller than the overall surge in global crude oil prices. For example, in Germany, the price of unleaded fuel increased by less than 25%—from about €1.80 ($2.11) per liter in January to €2.20 in April—even as crude oil prices soared by over 80%, from around $60 per barrel to over $110 per barrel.

Moreover, reducing fuel taxes shrinks government revenues and is highly regressive. Higher-income households drive more, have bigger cars, and have little incentive to save fuel even at slightly higher prices; they have even less when prices are held down. But they are more likely to vote and to express their frustration politically, and at-the-pump costs are immediately visible, whereas other consequences of higher energy prices, such as larger heating bills, arrive much later, with the increase distributed over time.

So, Germany's government has sought to get prices back below €2 per liter—a psychological threshold beyond which a political backlash might become more likely. Other European countries have enacted or are contemplating similar measures.

Some European governments, such as Spain's, are pursuing lower taxes on electricity generation, which is similarly counterproductive, as it encourages more energy use. Since renewables still have a limited capacity, this will lead to yet more fossil-fuel imports and greenhouse-gas emissions, while doing little to limit inflation. As usual, when faced with political pressure, European leaders are abandoning coherence for expediency.

Nowhere is this more obvious than in the fact that the same governments are continuing to subsidize renewables and electric-vehicle adoption, while sacrificing revenues in order to buffer the market forces that would naturally make such technologies more attractive. Germany has simultaneously budgeted €3 billion for EV subsidies this year and €1.6 billion in fuel-tax reductions that directly reduce the incentive to purchase EVs.

To be sure, even without the misguided fuel-tax reductions, EV subsidies are not an efficient way to reduce fuel consumption and emissions. The same goes for certain renewable subsidies, such as for rooftop solar. Both require large outlays per unit of emissions avoided, and both are regressive, because better-off households are more likely to be able to afford EVs and own homes that can support rooftop solar.

Subsidies also undermine resilience by weakening public finances. While high public debt might appear sustainable during good times, it makes responding to shocks very difficult. Because crises increase risk aversion, refinancing costs rise sharply, forcing governments to rein in spending exactly when it is needed most.

A better strategy would focus on reinforcing the European Emissions Trading System, which remains the most efficient instrument for limiting harmful emissions. Unlike regressive and expensive subsidies, the ETS effectively costs governments nothing and yields revenues that can be used to compensate poorer households for higher fuel costs. In other words, the ETS can both accelerate the energy transition and make it more equitable, without draining government coffers.

But the ETS has been watered down, with the European Commission bowing to lobbying pressure to keep more free emission permits available for industry. Moreover, ETS2—an expanded version of the ETS that covers emissions from a much wider range of sources, from buildings to road transport—has been postponed. It is now scheduled to become fully operational in 2028, instead of next year.

So far, European governments’ response to the Iran energy shock has missed the mark. Far from subsidizing energy consumption, whether through lower fuel taxes or direct appropriations, they should be pushing forward with a system that discourages emissions, incentivizes adoption of renewables, and generates public revenues. While this approach might mean slightly higher fuel prices today, it would leave Europe less exposed to fuel-price shocks and better equipped to respond to crises.

13. Four Scenarios for the Iran War

Author: Nouriel Roubini | **Date:** May 5, 2026 | **Original:** https://www.project-syndicate.org/commentary/iran-war-scenarios-and-economic-market-implications-by-nouriel-roubini-2026-05

NEW YORK—After decapitating the Iranian regime and bombing Islamic Revolutionary Guard Corps positions for 40 days, the Trump administration has failed to secure a surrender and left Iran in control of the Strait of Hormuz. With Iran striking critical infrastructure across the Gulf Cooperation Council states and threatening shipping, the United States reverted to TACO (Trump always chickens out) mode by agreeing to a ceasefire. And now rising inflation and slowing economic activity imply a bout of stagflation—just in time to anger voters ahead of the US midterm elections.

So, what happens next? There are four possible scenarios.

First, the current ceasefire could lead to successful negotiations to end military hostilities and reopen the Strait of Hormuz. The US does have some leverage here because its blockade of all naval traffic to and from Iranian ports is adding to the financial pressure on the regime. Trump is probably hoping that a more moderate faction—perhaps led by the speaker of parliament, Mohammad-Bagher Ghalibaf—can convince the hardliners that a compromise on the nuclear issue will bring both sanctions relief and renewed shipping revenue through the strait.

But this scenario is not very likely, because the regime can withstand economic pain far longer than Trump can (given the looming midterms). Moreover, the two sides remain far apart on many issues, not just Iran's nuclear ambitions. The US objects to Iran's ballistic missile and drone programs, its support for radical Islamist groups across the Middle East, the tolls that it wants to impose on Hormuz traffic, and other matters. Settling even one of these would require long, complicated talks by serious, seasoned negotiators.

The second scenario reflects this. The ceasefire continues, but the negotiations stretch on for a few more months while the strait remains blocked. This is basically where things stand today, and it is far from ideal. The status quo is inflicting significant economic and financial damage on the world economy, with oil and energy prices trending higher, even exceeding their peak during the 40 days of kinetic war.

Under such conditions, global growth will fall, and inflation will rise. But since this second scenario is inherently unstable, it cannot continue for more than two or three months. It must give way either to the first scenario (one side blinks and proves willing to compromise enough to reopen the strait and secure a more permanent ceasefire) or to escalation of the conflict. Indeed, the military skirmishes in the Gulf this week demonstrate the fragility of any ceasefire without a deal.

In the third scenario, the US and Israel would escalate by unleashing all the military, economic, and other means at their disposal to force a surrender or regime collapse. In the case of a surrender, the regime would have to accept a full stop to nuclear enrichment and reopen the strait unconditionally. This would be the best outcome for the US, Europe, Asia (including China), and the rest of the world.

The risk, of course, is that the Iranian regime survives such escalation. In the fourth scenario, it would use its remaining ballistic missiles, drones, and naval forces to inflict significant permanent damage on even more Gulf energy facilities, while maintaining its grip on the strait. Were that to happen, oil prices would spike closer to, or even above, $200 per barrel, and we would be looking at 1970s-style stagflation, a global recession, and a bear market for equities.

To be sure, an escalation could pressure both sides to find a negotiated solution, with scenario two (the status quo) having to pass through scenario three or four before ending up at scenario one. But this is less likely, since we would be back to negotiating a ceasefire—and we would have already just seen how little that did; thus, escalation may get out of control rather than lead to a return to a negotiated ceasefire.

While Trump is hoping for scenario one, this is probably wishful thinking. It is the radicals and hardliners in Tehran who have the upper hand. They have already demonstrated their willingness and ability to withstand the economic pain of the blockade, and they will not be facing voters this fall.

When it comes to the long-term economic and market implications, the third scenario is ideal, because it would mean a permanent reopening of the strait. The second-best scenario would be the first one; but it would mean that Iran could close the strait any time the US or Israel threatened it. That possibility would put a permanent 15–20% premium on oil relative to the pre-war level. Still, the current situation (scenario two) is worse, because every month that the ceasefire fails to produce a deal will push global growth lower and inflation higher. The only worse outcome is the fourth scenario.

Given such profound risks, some might wonder why global markets—starting with US and Asian equities—have recently reached new highs. I see two reasons. First, investors expect that the ceasefire will somehow be made permanent soon, implying much lower oil prices. Second, there seems to be an assumption that the tailwinds from the AI and data-center boom will remain much stronger than the headwinds from the war.

But if you believe that, you could be in for a rude awakening. Not only are markets pricing in a higher probability of a permanent ceasefire (over 75%) than is likely, but if we do end up with escalation, that would lead to even more economic and market volatility and downside risks even in the best-case scenario. While an escalation that leads to regime surrender would be more likely than one that leads to 1970s-style stagflation, markets still will have underestimated the risk of pain in the meantime. For anyone on the wrong side of the trade, it would hurt no less if the pain lasted months, rather than years or decades.